

P-5 Sustained - 02/25/1

BANKING CONTRACT.

LEGAL NEXUS OF BANKER/CUSTOMER RELATIONSHIP

The legal nexus between a banker and a customer has been considered variously. At first, it was thought to be that of a principal and agent. Later, it was considered to be one of trustee and beneficiary. Finally, it is seen as that of debtor and creditor. Before we take a position of which one it is indeed, we shall consider the above relationships though briefly.

Agent and Principal

Simply put, a principal is one who authorizes another to act for him, while an agent is a person employed or authorized to act on behalf of another. Thus, an agency relationship subsists between one called the principal and another called the agent by which the latter is by law invested with legal authority to act for and on behalf of the former in relation to third parties. From the above, an agent is one given authority by the principal to act on his behalf.

Relating this to a customer and a banker, the banker is not given any such authority by the customer to deal with the customer's money in its custody. The customer merely opens an account with a bank and pays money into the same, which money he hopes to make use of by making withdrawals of the same either personally or through other persons. By so doing, the customer does not authorize the banker to deal with his money in relation to third parties whom the banker grants various facilities with the money of the customer in its custody. Such facilities include loans, overdrafts and so forth. In addition, the banker does not render any accounts to the customer for so using the money and no profits strictly speaking accrues to the customer for his money being so used by the banker. Notwithstanding the above, it has recently been held that the banker and customer relationship is also that of an agent and principal. In the case of *U.B.N. Plc v Ifeoluwa (nig) Enterprises Ltd*, (2007) 7 NWLR (Pt. 1032), 71, p. 83. it was held that the relationship between a banker and a customer is that of an agent and principal as well as that of a debtor and its creditor.

While the above decision may be true, it is not strictly speaking the true agent and principal relationship as above shown. However, this may be correct to the extent that the bank performs some agency related functions for and on behalf of its customers such as purchase and sale of shares, and of course collection of cheques. These functions a customer must direct or authorize

the bankers to do outside its normal duties. These are necessary aspects of such a relationship, which a banker performs or carries out for its customer but not as an agent. Were it so, difficulties would be in the use of the customer's money at the discretion of the banker and the problems of remunerations to the banker as an agent and of course accounting in agency law, which would pose great obstacles to the development and practices of a flexible banking system.

Trustee and Beneficiary

A trustee is a person who holds a property on trust for another person called the beneficiary. Generally, the law, (See the Trustee Act, Laws of the Federation of Nigeria, 2004), governing trust properties provides for the appointment, powers and discharge of trustees. The main duty of a trustee is to carry out the terms of the trust and preserve safely the trust property. He must use utmost diligence in discharging his duties and where he is to exercise discretion; he must act honestly and use such diligence as a prudent man of business would exercise in dealing with his own affairs. Where he does not, he would be liable for breach of trust and would make good personally the loss suffered by the trust estate. A beneficiary, otherwise called the *cestui que* trust, is a person for whose benefit a property is held by a trustee.

Relating the above principle to a banker and a customer, it is obvious that this type of relationship does not exist between both parties. First, there is no law distilling such a relationship as above between a banker and a customer. Secondly, the banker is not under any statutory authority to act diligently in dealing with a customer's money in relation to third parties. A banker rather has an absolute discretion to deal with a customer's money at its disposal as it pleases and only required to make good any demand for money by such a customer within the limits of his credit in his account with the bank. Thirdly, a customer's money is not a trust property given by another to the banker to be kept for the benefit of the customer and a customer does not receive any such benefit as envisaged under a trust in a banker and customer relationship. Generally, it is a customer who keeps money in a bank by himself and for his use as and when he needs it or some of it. Thus, a banker and a customer relationship cannot be that of a trustee and a beneficiary. In the case of *First Bank of Nigeria Ltd v African Petroleum Ltd* (1996) 4 NWLR (Pt. 443), pp. 438 – 444, it was held that the banker does not hold moneys or proceeds of bills received as trustee for the customer.

Again, according to Chorley:

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To have held that the banker was a trustee of moneys deposited with him would have killed the business of banking as we know it as effectively as to have held that he was a bailee. A trustee is usually severely restricted in the use to which he may put trust funds and may be confined to investments in a limited class of securities; a banker could not have been a trustee and retained complete freedom as to the use of the money in commerce.

Debtor and Creditor see the case of *I.T.P.P Ltd v. UBN Plc* (2006) 12 NWLR (Pt. 995), p. 483.

A debtor is one who owes a debt, which in this case is money, to a creditor, while a creditor is one to whom money is being owed. Of course, in this case, the money owed is one paid into the customer's account with the bank. A banker and a customer relationship is seen as that of a debtor and a creditor, the banker being the debtor and the customer being the creditor, by reason of the money paid into the customer's account with the banker. By this relationship, the banker applies or uses the money in the customer's account in any manner it deems fit or proper for any purposes without any recourse or authorization by the customer. For such usage, the Banker becomes indebted to the customer to the total sum of the customer's money actually utilized. On demand by the customer for payment by means of withdrawals either in cash or cheques, the banker is bound to pay over or credit to the customer the sum demanded up to the total amount of the customer's money with the banker, else the banker will be liable in damages.

In the case of *Allied Bank of Nig. Ltd v. Jonas Akubueze*, (1997) 6 S.C.N.J 116, pp. 132 - 133. The respondent who was a customer of the appellant maintained two separate accounts with the appellant. One of the accounts had enough money to satisfy the respondent's demands while the other was in debit because of an overdraft, which the respondent had not cleared. Consequently, the respondent issued a cheque, which the respondent had not cleared. Consequently, the respondent issued a cheque, which amount could be satisfied by his account in credit but the defendant refused to pay him because of the debt he owed in the other account. In an action initiated by the respondent in the High Court for breach of duty by the appellant to honour his cheque, judgment was entered for the respondent against the appellant. On appeal by the appellant, the Supreme Court held that when a banker credits the current account of its customer with some money, the banker becomes a debtor to the customer in that sum. The Court further held that a bank is bound to honour a cheque issued by its customer if the customer has enough funds to satisfy the amount payable on the cheque in respect of the relevant account. Refusal to honour the cheque will amount to a breach of contract, which would render the banker liable in damages.

Thus, the debtor and creditor relationship, which is in consonance with the business of banking. The above relationship was established by the *locus classicus* of *Foley v Hill* (1848) 9 E.R, p. 1002. In that case the plaintiff had an account with the defendant banker, where he deposited some money. He made two withdrawals of different sums at different times from the said

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account, which were debited to the account. In addition, interest as agreed was paid on the account and entered on a separate column but not credited to the main account. Later, in an action that ensued, the plaintiff claimed that the relationship of a banker with his customer was analogous to that of an agent with his principal and so he was entitled to an account on this basis. However, the House of Lords held that the relationship of a banker and its customer was that of debtor and creditor. It was also stated that this trade of a banker is to receive money and use it as if it were his own, he becoming debtor to the person who has lent or deposited with him the money to use as his own. The above principles of law were confirmed in the case of *Yesufu v. African Continental Bank Ltd* (1981) 1 SC, p. 74; amongst others, where the Supreme Court held that since the celebrated case of *Foley v. Hill* (supra) the relation in law between a banker and his customer has been that of a debtor and creditor. When a bank credits the current account of its customer with a certain sum, the bank becomes a debtor to the customer in that sum see *Festus Yusuf v. Cooperative Bank* (1994) 9 SCNJ, p. 67..

As already shown, a banker is a debtor to the customer only as to the amount outstanding in credit in the customer's account and none other. Thus in *Ekpeyong v State* (1967) 1 All NLR 285 at 287. See also *Afribank (Nig) Plc v. Onyima* (2004) 2 NWLR (Pt. 858), p. 654; the Supreme Court also held that when a person has an account, which is in credit, the bank is his debtor to the extent of the credit balance. Therefore, a cheque which has been paid into an account with a bank and which has not been cleared cannot be said to be in the credit of the account, and the banker cannot be held as a debtor of the sum not yet credited, except of course, there is a loss or misplacement of the cheque by the banker. (See *UBA Plc v. ACB (Nig) Ltd* (2005) 12 NWLR (Pt. 939), p. 232.. Again, this debt accrues only from the date of demand of the outstanding sum in credit or any part thereof by the customer. The debt does not arise from the date of opening an account or obtaining an overdraft or any other facility from the bank.

In summary, a bank may act in different capacities when dealing with its customers. For instance, while collecting the proceeds of cheques and bills of exchange for its customers, the banker acts as an agent, and in keeping valuable articles or securities for its customers, it acts as a bailee. But the over-riding legal relationship of a banker and its customer is contractual and fundamentally that of debtor and creditor with superadded obligations arising out of the custom

of bankers. This was established by the House of Lords in *Foley v. Hillard & Ors* (1848) 2 H.L. Cas, p. 28 where Lord Cottenham LC said:

Money, when paid into bank, ceases altogether to be the money of the principal, it is then the money of the banker, who is bound to return an equivalent by paying a similar amount to that deposited with him when he is asked for it... It is then the banker's money; he is known to deal with it as his own; he makes what profit he retains to himself, paying back only the principal, according to the custom of bankers in other places. The money placed in the custody of a banker is, to all intents and purposes, the money of the banker, to do with it as he pleases; he is guilty of no breach of trust in employing it, ... he is not bound to keep it or deal with it as the property of his principal, but he is, of course, answerable for the amount, because he has contracted, having received that money, to repay to the principal, when demanded, a sum equivalent to that paid into his hands... the banker is not an agent or factor, but he is a debtor.

TEXT QUESTION;

Briefly discuss the Contractual relation between the Banker and the Customer with the aid of Authority (ies) if any .

Thanks and I wish you all well.

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